

STEP 1

I START WITH THE GOAL AND THE CLOCK

First, I write one plain sentence: “₹25 lakh for my daughter’s college in eight years.” Then I write a number: 8 years. That’s it. The moment I see < 3 years, I know equity will be just a garnish, not the dish.

Note to self: If you can’t say the goal in one sentence, you can’t buy a fund for it.

First the clock, then the calculator

The clock says eight years. Once that’s set, the SIP amount simply adjusts to reality

ASSUMED RETURN (% PA)	SIP AMOUNT (₹)	AMOUNT REQUIRED (₹)
12	15,921	25,00,000
10	17,294	
8	18,782	

NOTE PA IS PER ANNUM

STEP 2

I FIX THE ASSET MIX BEFORE TOUCHING ANY FUND

This is the most boring—and most important—bit. Horizon and risk capacity determine the allocation between equity and debt. Then I rebalance once a year (or when any sleeve drifts by +/-5%). Rebalancing with fresh flows keeps taxes quiet.

Let time pick your risk

Your horizon decides the balance between equity and debt, not excitement or returns

HORIZON	CATEGORY	VOLATILITY (%)
0–12 months	Liquid/Ultra-short	1.7
1–3 years	Short-duration or target-maturity	1.9
3–5 years	Conservative hybrid	5
5+ years	Equity core (flexi)	20.1

NOTE Volatility is based on the standard deviation of daily one-year rolling returns between January 2013 and October 2025. The average direct plan in each category has been considered as per the Value Research classification.

Allocation decides outcomes; funds just implement them.

STEP 3

I BUILD THE CORE FIRST, AND KEEP SATELLITES SMALL

My core equity is either a broad index (Nifty 50/100/Total Market) or a rules-driven flexi-cap, with low downside capture. My core debt is short-duration or roll-down quality—no yield theatre.

My satellites—mid, small, and a factor here or a theme there—live under a firm ceiling. Curiosity is welcome; dominance isn’t.

Note to self: Let the core make you rich; let the satellite make you curious.

STEP 4

I CHOOSE INDEX VS ACTIVE BY CATEGORY, NOT IDEOLOGY

Large-cap? After accounting for costs, the index often prevails. I look for tracking difference (TD) near zero and tracking error (TE) that isn’t noisy.

Mid/small-cap? A disciplined active fund can earn its fee if it respects capacity and sticks to its style.

Don’t bet on ideology, bet on category

Passive funds often outperform in large-cap stocks. Smart active funds can outperform in smaller arenas

CATEGORY	ALPHA (%)	EXPENSE RATIO (%)	TRACKING ERROR (%)	TRACKING DIFFERENCE (%)
Passive large-cap funds	—	0.19	0.07	-0.36
Active mid-cap funds	0.3	0.76	—	—
Active small-cap funds	1.4	0.63	—	—

NOTE Alpha is for Oct 2022–Sep 2025. Expense ratio as of Sep 2025. Tracking error and tracking difference are for the one-year period ended Sep 2025.